Ledger module: workflow and operations

1. Purpose and principles

This tab specifies how the platform's ledger module is run, step by step: who does what, when, and with which checks. It is written from a chartered accountant's point of view. It builds on the ledger design in the FRD tabs: platform-built, TigerBeetle concepts, PostgreSQL, one book per society.

Eight principles.

1. **Double entry, always.** Every journal balances. Total debits equal total credits in every book, at every moment.
2. **Nothing is ever edited or deleted.** A mistake is corrected by a new journal that reverses it, and the trail shows both.
3. **Every entry has a reason and a document.** Each line carries its event code, its business date and a link to the source document. That might be an invoice, a cash-up, a statement line, a delivery code or a resolution.
4. **The sub-ledger and the control account always agree.** Member savings, loans, credit owed, supplier balances and the rest are posted line by line in the sub-ledger. Their totals equal the general ledger control account every day.
5. **The bank is the record of money. The ledger is the record of meaning.** Every bank line is matched to a journal, and every journal that moves money is matched to a bank line.
6. **Automatic first, manual by exception.** Most journals come from business events through approved posting rules. Manual journals are rare, need two people, and are reviewed monthly.
7. **Closed periods stay closed.** Nothing can be posted into a locked period. Reopening needs the board, and is logged.
8. **Every naira is attributed.** Each line is tagged with its society book, business unit, and where relevant the round, venture asset, member, supplier or outlet. Any report can then be cut without separate books.

2. Ledger structure

Books. Each society has one naira book, in kobo, and one quantity book for stock in units. The database refuses any journal between two books. Business units, rounds and ventures are dimensions inside the society's book, not separate books, so money can

move between a society and its units.

Chart of accounts. This is the standard chart every society starts with. A society can add accounts within a range, but cannot change a code's type once anything has posted to it.

Code	Account	Type	Notes
1100 to 1199	**Cash and bank**	Asset	
1110	Main account bank	Asset	One per real account
1120	Unit bank accounts	Asset	One per unit account
1130	Estate deposit account	Asset	Ring-fenced buyer deposits
1140, 1150, 1160	Cash in till, safe, petty cash	Asset	Cannot go below zero
1170	Settlements in transit	Asset	Card and wallet takings awaiting settlement
1180	Transfers between own accounts	Asset	Must be zero at day end
1200 to 1299	**Member and customer receivables**	Asset	
1210	Member loans	Control	Sub-ledger per loan
1215	Interest receivable on loans	Control	
1220	Member credit owed, for commodities and assets	Control	Sub-ledger per plan
1225	Staff credit owed	Control	Sub-ledger per plan, reported separately
1230	Hire-purchase receivables	Control	Sub-ledger per agreement
1240	Requester receivables, for top-ups	Control	
1250	Employer remittances due	Control	Deducted but not yet received

Code	Account	Type	Notes
1290	Allowance for expected credit losses	Contra asset	
1300 to 1399	**Inventory**	Asset	
1310	Stock, by unit and item	Asset	Value side of the quantity book
1320	Round cost pool	Asset	Must be zero when a round closes
1330	Estate units under construction	Asset	Held for sale
1400 to 1499	**Investments and inter-unit**	Asset	
1410	Investment in business units	Asset	Society side, eliminated in consolidation
1420	Advances to units	Asset	Society side
1430	Due from society	Asset	Unit side
1440	Investment property	Asset	Estates held to rent
1450	Fixed deposits and treasury bills	Asset	
1500 to 1599	**Property, plant and equipment**	Asset	Vehicles, equipment, buildings, land. Accumulated depreciation is a contra account
1600 to 1699	**Prepayments and other receivables**	Asset	Including VAT input
2100 to 2199	**Member savings**	Control liability	Sub-ledger per member per product. Cannot go below zero
2200 to 2299	**Requester prepayments**	Control liability	Per requester per round. Non-member staff in a separate account

Code	Account	Type	Notes
2300 to 2399	**Suppliers payable**	Control liability	Sub-ledger per supplier
2400 to 2499	**Taxes payable**	Liability	Withholding tax, VAT output, PAYE, company tax
2500 to 2599	**Clearing and suspense**	Liability	Payouts in flight, unidentified receipts, requester overpayments, due to business unit, due to society
2600 to 2699	**Buyer deposits held**	Liability	Estate buyers, until handover
2700 to 2799	**Accruals, dividends and refunds payable**	Liability	
2800 to 2899	**Withdrawable member shares**	Liability	Shares members can withdraw on demand are a liability (IFRIC 2)
3100 to 3999	**Capital and reserves**	Equity	Non-withdrawable share capital, statutory reserve fund, education fund, other reserves, retained surplus. Unit side: capital from society, and profit and capital returned
4100 to 4999	**Income**	Income	Loan interest, sales, round sales, credit markup, service fees, transport income, rent, income from units (eliminated), gains on disposal
5100 to 5499	**Cost of sales**	Expense	Cost of goods sold, cost of round sales, stock losses, cost of estate units sold

Code	Account	Type	Notes
6100 to 6999	**Operating expenses**	Expense	Staff, rent, utilities, fuel and maintenance, depreciation, bank and card charges, impairment and expected losses, cash over and short, audit and supervision fees
7100 to 7499	**Appropriations**	Equity, at year-end	Transfer to reserve, education fund, dividends, patronage refunds

Dimensions. Every journal line carries the dimensions its account requires. The ledger refuses a line that is missing one.

Dimension	Required on
Business unit	Every income, cost, inventory, unit bank and inter-unit line
Round	Round sales, round cost pool, requester prepayments and refunds
Venture asset	Asset, depreciation, transport income and hire-purchase lines
Member or staff	Every sub-ledger line: savings, shares, loans, credit owed, prepayments
Supplier	Supplier payable and withholding tax lines
Employer	Remittance and employer arrears lines
Outlet or till	Sales, cash and settlement lines

Control accounts and sub-ledgers.

- Control accounts can only be posted through their sub-ledger. A manual journal cannot touch a control account directly. It must post to a named member, supplier or plan, which then updates the control account.
- The daily check proves every control account equals the sum of its sub-ledger.

Inter-unit accounts. The society's "investment in units" and "advances to units" mirror each unit's "capital from society" and "due to society". The consolidated society report eliminates them against each other. Any difference is a break.

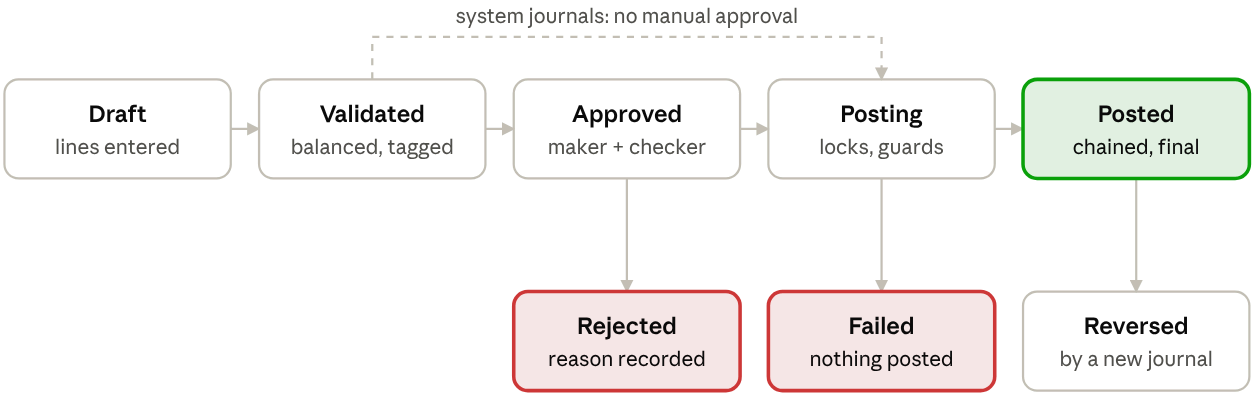
3. Journal types

Type	Source	Approval	Examples
Event journal	Generated by a module when a business event happens, through a posting rule	None at posting. The business approval happened in the module	Contribution received, sale, delivery, supplier payment, remittance matched
Hold	A pending entry that reserves money or stock	As for the event	Payout requested, stock reserved for a member
Hold completion or release	Completes or releases a hold	As for the event	Payout confirmed, payout failed, reservation expired
Scheduled journal	A schedule approved once	Approved when the schedule is set up	Monthly depreciation, markup recognition, prepayment release, rent
Accrual	Raised by the accountant at month-end, and reversed automatically on the first day of the next month	Maker and checker	Audit fee accrued, utility bill not yet received
Allocation	Shares a common cost across units by an agreed basis	Maker and checker	Shared office rent spread across units by floor space
Manual adjusting journal	Entered by the accountant	Maker and checker, plus the board above a set amount	Reclassification, write-off, impairment

Type	Source	Approval	Examples
Correction	Reverses a wrong journal, then posts the right one	Maker and checker	Wrong unit tagged, wrong amount
Period-end run	System runs at close	Run by the accountant, reviewed by the treasurer	Expected credit losses, stock valuation, interest accrual
Year-end closing and appropriation	Closes income and costs to surplus, then appropriates	General meeting resolution	Reserve fund, education fund, dividends, patronage refunds
Opening balance	One-time migration, in a special opening period	Maker, checker, and treasurer sign-off on the trial balance	Balances brought over from the old records

4. The journal lifecycle

A journal is checked, approved and posted whole, or not at all



journal lifecycle · five steps, three exits

Each step.

1. **Draft.** A module or the accountant prepares the journal: lines, accounts, amounts, dimensions, business date, narrative and the linked document. Event journals are created already complete.

2. **Validated.** The ledger checks that:
   - the journal balances;
   - every account exists and accepts postings;
   - every required dimension is present;
   - the business date falls in an open period;
   - no control account is hit without a sub-ledger line;
   - the idempotency key is new.

   A failure returns the reason, and nothing is saved as posted.
3. **Approved.** This applies to manual, accrual, allocation, correction and opening-balance journals only. A second person, never the preparer, reviews the journal against its document and approves or rejects it. Above the board threshold, a board member must also approve.
4. **Posting.** The ledger locks the book and the affected accounts in a fixed order, and applies the balance guards. It writes the journal and its lines, updates balances, and extends the fingerprint chain, all in one transaction. If anything fails, nothing is posted, and the journal is marked Failed with the reason.
5. **Posted.** The journal is final. It appears in reports and statements, and is linked from its source document.

Exits.

- **Rejected.** The approver gives a reason. The preparer can raise a corrected new draft.
- **Failed.** For example, a balance guard refused it, or the period closed in the meantime. A retry is a new attempt with a new key.
- **Reversed.** A correction journal reverses it in full, with the original's reference. A journal can be reversed only once.

Numbering. Every posted journal gets the next number in its book's sequence, with no gaps. Failed and rejected attempts keep their own reference outside the sequence, so the posted series has no holes for an auditor to question.

5. Posting rules: from business event to journal

How it works. Each business event has one posting rule. The rule names the accounts to debit and credit, how each amount is computed (gross, net, fee or tax), which dimensions are copied from the event, and which document is linked. Modules never choose accounts themselves. They emit the event, and the rule produces the journal.

Main posting rules.

Event	Debit	Credit	Dimensions
Savings contribution matched	1110 main bank	2100 member savings	Member, employer
Loan disbursed	1210 member loan	2510 payouts in flight, then 1110 on bank confirmation	Member, loan
Loan repayment matched	1110 main bank	1210 member loan, and 4110 interest income	Member, loan, employer
Round prepayment received	1120 unit bank	2200 requester prepayments	Unit, round, requester
Round purchase paid	1320 round cost pool	1120 unit bank, net, and 2410 withholding tax	Unit, round, supplier
Goods delivered, prepaid	2200 requester prepayments	4210 round sales, and 4400 service fees	Unit, round, requester
Cost of goods delivered	5200 cost of round sales	1320 round cost pool	Unit, round
Goods delivered on credit	1220 or 1225 credit owed	4210 round sales	Unit, round, member or staff
Monthly markup	1220 or 1225 credit owed	4300 credit markup	Unit, plan
Card sale	1170 settlements in transit	4200 sales	Unit, outlet
Card settlement	1120 unit bank, and 6500 card charges	1170 settlements in transit	Unit, outlet
Cash banked	1120 unit bank	1140 cash in till	Unit, outlet
Supplier invoice matched	1310 stock, or an expense, and VAT input	2300 suppliers payable	Unit, supplier

Event	Debit	Credit	Dimensions
Supplier paid	2300 suppliers payable	1120 unit bank, and 2410 withholding tax	Unit, supplier
Capital tranche	1410 investment, and on the unit side 1120 unit bank	1110 main bank, and on the unit side 3600 capital from society	Unit
Driver's return	1120 unit bank	4500 transport income, or 1230 hire purchase and 4300 interest	Unit, asset, driver
Depreciation run	6400 depreciation	Accumulated depreciation	Unit, asset
Profit returned	3610 profit returned (unit side), and 1110 main bank (society side)	1120 unit bank (unit side), and 4700 income from units (society side)	Unit

Changing a rule.

- **Approval.** Rules are versioned with an effective date. A change needs the accountant to propose it, the treasurer to approve it, and a test against sample events before it goes live.
- **No backdating.** A new rule never re-posts history. Earlier journals affected by a wrong rule are fixed by approved correction journals, listed in a correction batch.

6. Daily and weekly operations

The daily run sheet. Business days are in West Africa Time. The business date cut-off is 23:59.

When	Task	Who	Done when
Overnight	Integrity check: debits equal credits, balances equal their journals, the fingerprint chain is intact, and control accounts equal their sub-ledgers	System	Report green. A red result suspends payouts for that book and alerts the treasurer and supervisory committee
Overnight	Expire holds past their time limit, and run scheduled journals that fall due	System	Expired holds released. Schedules posted
07:00	Import bank statements, by feed or upload	System or finance officer	Every bank account has yesterday's statement
08:00	Bank matching: every statement line cleared or a break opened	Finance officer, with a checker for manual matches	No unmatched line without an owner
09:00	Clearing accounts check: settlements in transit, payouts in flight, transfers between own accounts, round cost pools	Finance officer	Each holds only items still inside their window
09:00	Cash-ups from yesterday matched to deposits	Finance officer	Every cash-up banked, or a break raised
10:00	Unidentified receipts worked: matched to a member, requester or employer, or returned	Finance officer	Nothing older than 5 business days
Through the day	Manual journals reviewed and approved	Accountant prepares, treasurer approves	Queue empty by close

When	Task	Who	Done when
Through the day	Exceptions queue: guard refusals, failed postings, hold expiries after bank success	Accountant	Each resolved or escalated
23:59	Business date closes, and the daily balance snapshot is taken	System	Snapshot stored

Weekly.

1. **Breaks.** Review aged breaks. Anything over 5 business days goes to the board's list.
2. **Old holds.** Review holds older than half their time limit, and chase the bank for an answer.
3. **Journal sample.** The supervisory committee reviews a sample of manual journals and posting-rule exceptions.
4. **Payroll.** Prepare next month's deduction schedules from the ledger's instalment plans, and reconcile them to credit owed.
5. **Suppliers.** Check that the suppliers due for payment match approved, matched invoices.

7. Month-end close, day by day

Two locks. Each period has two locks, like the lock dates in mainstream accounting tools.

- **Soft lock**, from the last business day. Modules can no longer post into the month. Only the accountant can post adjusting journals into it, and only with approval.
- **Hard lock**, at the end of the close. Nobody can post into the month. Reopening needs the board.

Late events. An event that arrives after the soft lock with a business date in the closed month is posted in the next open month. It keeps its real business date for reporting, and is listed in the close pack as a late item.

The close calendar. BD means business day. BD0 is the last business day of the month.

Day	Task	Owner	Evidence
BD-2	Remind units of cut-off. Chase supplier invoices for goods received. Check the next deduction schedules have gone to employers	Accountant	Cut-off notice, list of goods received without an invoice
BD-1	Review open holds and payouts in flight. List expected accruals and prepayments	Accountant, treasurer	Holds list, accruals list
BD0	Business date closes at 23:59 and the soft lock applies. Monthly stock count and surprise cash counts. Final bank import	System, storekeeper, supervisory committee	Count sheets, cash-up reports
BD+1	All bank accounts reconciled. Clearing accounts checked. Cash-ups matched to deposits. Remittances matched to schedules. Scheduled runs posted: depreciation, credit markup, prepayment release, loan interest accrual	Finance officer, accountant	Reconciliations R1 to R4 and R8, run reports

Day	Task	Owner	Evidence
BD+2	Accruals posted, set to reverse automatically on the first day of next month. Shared costs allocated to units. Stock valuation posted, with shrinkage and expiry write-downs. Expected credit loss allowance updated from the provision matrix. Asset register agreed to the ledger. Inter-unit accounts agreed	Accountant	Accrual schedule, valuation report, provision matrix, R9 to R11
BD+3	Every reconciliation in the catalogue signed off. Every control account certified against its sub-ledger. Trial balance reviewed. Variance analysis against budget and last month, explaining every line that moved more than 10% and more than ₦100,000 (configurable). Tax schedules prepared	Accountant prepares, treasurer reviews	Reconciliation pack, variance report, tax schedules
BD+4	Unit chairs review their unit packs. Final adjusting journals approved. Treasurer signs the close checklist. Hard lock applied	Unit chairs, treasurer	Signed checklist
BD+5	Monthly pack to the board and the supervisory committee. Tax payments scheduled before their due dates	Treasurer	Board pack, payment schedule

The expected credit loss allowance. This uses the simplified approach for receivables, as IFRS 9 allows. Each receivable type has a provision matrix:

- **The receivable types** are member loans, member credit owed, staff credit owed, hire-purchase receivables, employer remittances due and requester top-ups.
- **The percentages** are set by days past due: current, 1 to 30, 31 to 60, 61 to 90, and over 90.
- **Where they come from.** The society's own repayment history, adjusted for current conditions. The board approves them each year.
- **Each month** the system applies the matrix to the aged balances. It posts only the change in the allowance.

Stock at month-end. It is valued at cost, first-in first-out or weighted average. Each item is written down to what it can be sold for, if lower. Expired and damaged goods are written down at once.

8. Year-end close, appropriation and audit

Before the year ends.

1. **Full counts.** A full stock count, a physical check of every asset in the register, and surprise cash counts.
2. **Confirmations.** Statements requested from banks, suppliers and employers. Members can see and confirm their balances in the app.
3. **Reviews.** Every loan, credit plan and hire-purchase agreement reviewed for expected losses. Impairment tests on damaged or under-earning assets.
4. **Tax.** The trading-profit tax computation for each unit and the society, including the small-company test.

The year-end close, in order.

1. **December close.** The December close runs as normal and hard-locks.
2. **Year-end adjustments period.** A special adjustments period opens: "period 13", dated the last day of the year. Only year-end and audit adjustments post there, each with two approvals.
3. **Closing journal.** The system closes every income and cost account to "current year surplus". Each unit's result is kept by dimension, so unit results stay visible after closing.

4. **Statutory reserve.** At least 25% of net surplus is required by the Act, unless the Director of Cooperatives varies it. It is posted as part of the close.
5. **Other appropriations wait for members.** The education fund, dividends and patronage refunds are recorded only when the general meeting approves them. A dividend declared after the year end is not a liability at the year end. It is posted when declared, to dividends payable, and disclosed in the accounts.
6. **Audit adjustments.** The external auditor works with read-only access. Agreed adjustments post in period 13 as audit adjustments, with the auditor's reference.
7. **Final lock.** Once the accounts are signed, period 13 hard-locks, and the year can never be reopened.
8. **The new year.** Opening balances are carried forward automatically. Balance sheet accounts carry their balances. Income and cost accounts start at zero. The new year's retained surplus equals last year's closing figure.

The appropriation account. It is presented to the general meeting in this order:

Line	Basis
Net surplus for the year, after tax	From the closing journal
Less: statutory reserve fund	At least 25%
Less: education fund	Up to 10% of the remainder, with the Director's approval
Available for distribution	
Dividend on shares	As the general meeting resolves
Patronage refunds	In proportion to members' recorded business
Retained surplus carried forward	The balance

Audit preparation list. The ledger produces these for the auditor:

- trial balance and general ledger;
- journal register;
- every reconciliation with sign-offs;
- sub-ledger listings, with member, supplier and employer confirmations;
- the asset register;
- stock count sheets and valuation;

- the provision matrices;
- tax schedules and receipts;
- board and general meeting minutes;
- the audit trail of manual journals and posting-rule changes.

9. Reconciliations catalogue

#	Account	Against	How often	Prepared by	Reviewed by	Tolerance
R1	Every bank account	Bank statement	Daily	Finance officer	Treasurer, and the supervisory committee monthly	None
R2	Cash in till and safe	Cash-up counts and deposits	Daily	Finance officer	Treasurer	Till tolerance only. Bank side none
R3	Settlements in transit	Provider settlement reports	Daily	Finance officer	Treasurer	Zero beyond the settlement window
R4	Payouts in flight, and open holds	Open payouts list, and bank results	Daily	Finance officer	Treasurer	Zero beyond the hold time limit
R5	Member savings, shares, loans, credit owed, staff credit	Sub-ledger totals	Daily, automatic	System	Accountant	None
R6	Requester prepayments and round cost pool	Round settlement	At round close	Unit accountant	Unit chair and treasurer	None
R7	Suppliers payable	Supplier statements	Monthly	Accountant	Treasurer	None
R8	Employer remittances due	Deduction schedules and remittance advices	Monthly	Payroll officer	Treasurer	None
R9	Inter-unit accounts	The unit's mirror accounts	Monthly	Accountant	Treasurer	Net zero

#	Account	Against	How often	Prepared by	Reviewed by	Tolerance
R10	Stock value	Stock count and valuation	Monthly	Storekeeper and accountant	Supervisory committee	Shrinkage tolerance
R11	Fixed assets	Asset register	Monthly	Accountant	Treasurer	None
R12	Taxes payable	Tax schedules and remittance receipts	Monthly	Accountant	Treasurer	None
R13	Buyer deposits held	Estate deposit account and buyer schedule	Monthly	Venture accountant	Treasurer	None
R14	Unidentified receipts and requester overpayments	Ageing list	Weekly	Finance officer	Treasurer	Nothing over 5 business days

Every reconciliation:

- shows the ledger balance and the outside balance, and lists every reconciling item with its age and owner;
- is signed off by a reviewer who did not prepare it;
- is locked with the period once signed.

A reconciling item older than its limit escalates automatically.

10. Suspense, breaks, corrections and prior-period errors

No balancing plugs. The ledger refuses an unbalanced journal, so there is no general suspense account for forcing journals to balance. Only two suspense-type accounts exist, and both are worked daily:

- **Unidentified receipts.** Money in that matches no member, requester or employer. It is cleared within 5 business days by matching it or returning it to the sender.
- **Requester overpayments.** Money owed back to requesters or staff. It is cleared by refund, or by applying it to another plan as the person chooses.

Breaks. Any difference between the ledger and an outside record opens a break with an owner, an age and an escalation path. A break is closed only by a correcting journal that names it, or by an outside correction, such as the bank reversing its own error. A break is

never closed by writing the difference off.

Correcting a wrong journal.

1. The accountant raises a correction that reverses the wrong journal in full, with a reference to it.
2. The accountant posts the right journal.
3. Both go to the treasurer for approval as one batch.
4. If the wrong journal is in an open period, both post in that period. If the period is closed, both post in the current period, with the original business date kept for reporting.

Write-offs. Writing off a receivable needs the treasurer up to a set amount, and the board above it. The write-off first uses the expected-loss allowance. Recoveries after a write-off are recorded as income.

Prior-period errors. These are handled as IAS 8 requires.

- **Not material.** The error is corrected in the current period, as an ordinary correction.
- **Material.** The accounts are restated:
  - the correction is posted in the current period to opening retained surplus, with a prior-period flag;
  - the reports restate the comparative figures and disclose the error;
  - the board approves it.
- **Audited years** are never reopened in the ledger.

11. Opening balances: moving a society onto the ledger

1. **Choose the cut-over date.** Use a month end, ideally the end of an audited year, so the opening figures are already audited.
2. **Map the old accounts** to the standard chart. Every old account maps to exactly one new account. The accountant prepares the map, and the treasurer approves it.
3. **Extract and clean member-level data** from the old spreadsheets or system:
   - savings and shares per member;
   - each loan with its schedule, balance and arrears;
   - each credit plan.

   Remove duplicates, and match members to their identity records.
4. **Load the sub-ledgers** first: members, loans, plans, suppliers and assets with their accumulated depreciation.

5. **Post the opening balance journal** in a special opening period, through an opening-balance clearing account. The clearing account must end at zero. Anything left there is an unexplained difference that must be resolved before go-live.
6. **Tie out:**
   - the opening trial balance equals the old accounts at the cut-over date;
   - every control account equals its sub-ledger;
   - every bank account equals its statement at the cut-over date;
   - stock equals the count;
   - assets equal the register.
7. **Member confirmation.** Every member sees their opening balances in the app and can raise a query within 30 days. Queries are logged, investigated and corrected by approved journals.
8. **Parallel run.** Run the old and new records side by side for one month. Compare the month-end figures, and explain every difference.
9. **Sign-off and lock.** The treasurer and the supervisory committee sign the opening position, with the auditor's review where possible. The opening period is then hard-locked.

12. Reports the ledger produces

Report	Content	Who uses it
Trial balance	Every account's opening balance, debits, credits and closing balance, by period, filterable by unit	Accountant, auditor
General ledger detail	Every journal line in an account, with document links	Accountant, auditor
Journal register	Every posted journal in number order, with preparer, approver and type	Auditor, supervisory committee
Sub-ledger statements	Member savings, loans, credit plans, staff credit, supplier and hire-purchase statements	Members, staff, suppliers, treasurer
Profit and loss	By society, unit, round and venture, against budget and last period	Board, unit committees

Report	Content	Who uses it
Balance sheet	Society and unit, with consolidation that eliminates inter-unit accounts	Board, auditor
Cash flow	Direct method, from bank-tagged journals	Board
Ageing reports	Loans, credit owed, employer arrears, suppliers, unidentified receipts, breaks	Treasurer, board
Reconciliation pack	Every reconciliation in the catalogue, with sign-offs	Treasurer, auditor
Appropriation account	Year-end surplus and its appropriation	General meeting
Audit trail	Every action on the ledger and its settings, with user, time and values	Auditor, supervisory committee
Tax schedules	Withholding tax by supplier, VAT output and input, PAYE	Accountant, tax adviser

Every figure in every report can be drilled down to its journals, and from a journal to its source document.

13. Controls, segregation of duties and journal testing

Ledger roles.

Role	May	May not
Preparer (accountant)	Draft manual, accrual, allocation and correction journals, and run period-end jobs	Approve their own journals, or change posting rules alone
Approver (treasurer)	Approve journals and correction batches, sign reconciliations, apply locks	Prepare the journals they approve

Role	May	May not
Board approver	Approve journals above the board threshold, write-offs above the limit, and period reopening	Prepare journals
Posting service (system)	Post validated and approved journals	Post anything that is unapproved or unbalanced
Reconciliation preparer (finance officer)	Prepare matches and reconciliations	Approve their own matches, or handle cash
Rule administrator	Propose posting-rule and chart changes	Activate them without treasurer approval and a test
Supervisory committee	Review samples, run journal tests, see everything	Post or approve
External auditor	Read everything and export	Change anything

The system refuses role combinations that break these lines. Access is reviewed every quarter.

Approval thresholds for manual journals.

- The accountant prepares, and the treasurer approves, up to ₦1,000,000 (configurable).
- A board member also approves above that.
- Any manual journal touching a bank, member savings or a tax account always needs the treasurer, whatever the amount.

Monthly journal testing. The supervisory committee runs the system's journal tests every month. They follow the approach auditors use to look for fraud in journal entries. The tests flag:

1. manual journals posted on weekends, public holidays or outside working hours;
2. round amounts and amounts just below an approval threshold;
3. entries to accounts that are rarely used;
4. entries by users who rarely post, or who posted outside their usual units;
5. entries posted after the soft lock, and reversals early in the next month;
6. entries with no document attached, or with a weak narrative;
7. entries to suspense, clearing and control accounts;

8. repeated corrections of the same item.

Each flagged entry is reviewed and signed off, or escalated.

Change control. Posting rules, the chart of accounts, dimensions, thresholds and lock settings are versioned. Each change records who proposed it, who approved it, the test evidence and its effective date.

14. Tax, statutory returns and record retention in Nigeria

Items marked "to confirm" are being checked against the law and the tax authority's current guidance. Until then, treat them as working assumptions.

Obligation	What the ledger produces	Deadline
Withholding tax deducted from suppliers	Schedule by supplier with TIN, rate and amount, and a credit note for each supplier	Remit by the 21st of the next month
VAT, where the society or unit is registered	Output and input VAT schedules. Small businesses with turnover of ₦100m or less are exempt from registering	Return by the 21st of the next month
PAYE for staff of units	Payroll deduction schedule	Monthly, by the 10th of the next month (to confirm)
Company income tax on trading profit	Tax computation by unit, with the small-company test	Annual return, within the statutory period after year end (to confirm)
E-invoicing with the tax authority	Invoice data in the required format, if the society falls within the rollout	Phased by taxpayer size. Whether and when it reaches cooperatives is to be confirmed
Annual audit and returns to the Director of Cooperatives	Audited accounts, appropriation account and member statistics	As the state's cooperative law sets (to confirm per state)

Record retention.

- **Accounting and tax records.** Keep at least six years after the end of the year they relate to (to confirm under CAMA 2020 and the tax administration law).
- **Anti-money-laundering records.** Keep for at least five years, under the Money Laundering (Prevention and Prohibition) Act 2022.
- **The platform's rule.** Ledger records, documents and audit trails are kept for at least six years after year end. They are never deleted before then.
- **Personal data.** After the retention period, personal data is anonymised in line with the Nigeria Data Protection Act. Accounting totals are kept.

Reporting framework. Smaller societies prepare accounts under IFRS for SMEs, as the Financial Reporting Council framework allows. Societies classed as public interest entities use full IFRS (to confirm).

15. Exceptions and incident handling

Exception	What the ledger does	What people do
A journal is refused by a balance guard	Marks it Failed with the guard's reason. Nothing posts	The module tells the requester. A retry gets a new key
The nightly integrity check fails	Suspends payouts for that book, and alerts the treasurer and supervisory committee	The accountant and the platform's engineers find the cause the same day. Fixes are only approved correction journals, never data edits
The fingerprint chain is broken	Treated as possible tampering. Payouts are suspended, and the evidence is preserved	Supervisory committee and the external auditor are told. Investigate before anything else
A control account differs from its sub-ledger	Opens a critical break	The accountant traces the difference. Correction journals go through the sub-ledger
The posting service is down	Modules queue their events. Nothing is lost, because every event has its own key	When the service returns, queued events post in order. Duplicates are ignored

Exception	What the ledger does	What people do
A posting rule was wrong	The rule is disabled at once, and affected events are queued	The accountant prepares a correction batch, the treasurer approves it, and the rule is fixed and re-tested
A bank success arrives after a hold expired	Posts as a new journal, and flags it	The accountant checks the payout was not repeated
A request to reopen a closed period	Refused until the board approves	Prefer a correction in the current period. Reopen only for errors that matter, with the board's reason recorded
The database must be restored	Restores to the last consistent point, then the integrity check runs	Re-import bank statements since that point, and replay queued events by their keys. Reconcile before payouts resume

16. Requirements and acceptance tests

Requirements.

ID	Requirement	Priority
FR-LED-01	Standard chart of accounts per society. Code types cannot change after first posting	Must
FR-LED-02	Required dimensions per account, enforced at validation	Must
FR-LED-03	Control accounts post only through sub-ledgers. Daily sub-ledger to control proof	Must
FR-LED-04	Journal lifecycle: draft, validated, approved, posting, posted. Rejected, failed and reversed states. Gap-free numbering of posted journals	Must
FR-LED-05	Maker and checker on manual, accrual, allocation, correction and opening journals, with thresholds	Must

ID	Requirement	Priority
FR-LED-06	Versioned posting rules with approval, test evidence and an effective date. No backdated re-posting	Must
FR-LED-07	Scheduled journals: depreciation, markup, prepayments, interest	Must
FR-LED-08	Accruals that reverse automatically on the first day of the next period	Must
FR-LED-09	Soft and hard period locks. Late events post in the next open period with their real business date. Reopening needs the board	Must
FR-LED-10	Close calendar with tasks, owners, evidence and sign-off, by business day	Must
FR-LED-11	Reconciliation catalogue R1 to R14, with preparer and reviewer sign-off and ageing of reconciling items	Must
FR-LED-12	Provision matrix for expected credit losses, posting only the change each month	Must
FR-LED-13	Year-end adjustments period, closing journal, statutory reserve, and appropriations on general meeting approval	Must
FR-LED-14	Opening balance migration with a clearing account that must be zero, tie-outs, member confirmation and a parallel run	Must
FR-LED-15	Monthly journal-testing report for the supervisory committee	Must
FR-LED-16	Reports listed in section 12, with drill-down to source documents	Must
FR-LED-17	Tax schedules for withholding tax, VAT and PAYE, and supplier credit notes	Must
FR-LED-18	Records kept at least six years after year end, and never deleted earlier	Must

ID	Requirement	Priority
FR-LED-19	Consolidated society reports eliminating inter-unit accounts	Must
FR-LED-20	Integrity checks and incident handling as in section 15	Must

Acceptance tests.

Test	How	Expected result
TL-01	Post a manual journal directly to member savings with no member	Refused at validation
TL-02	Post a sales line with no business unit	Refused at validation
TL-03	The accountant approves their own journal	Refused
TL-04	Post a ₦1,500,000 manual journal with only the treasurer's approval	Held for a board approver
TL-05	Post an accrual on 31 March	It reverses automatically on 1 April
TL-06	A module posts into March after the soft lock	Posted in April with a March business date, and listed as a late item
TL-07	Anyone posts into March after the hard lock	Refused
TL-08	Close March with an unsigned bank reconciliation	The hard lock is refused
TL-09	Member savings sub-ledger differs from its control account	A critical break opens, and payouts stop for that book
TL-10	Run the provision matrix twice in a month	The second run posts only any further change
TL-11	Post dividends at year end before the general meeting	Refused. Only the statutory reserve posts at close

Test	How	Expected result
TL-12	Leave ₦500 in the opening-balance clearing account	Go-live is blocked
TL-13	A posting-rule change without test evidence	It cannot be activated
TL-14	A manual journal posted at 23:30 on a Sunday, for a round amount just below the threshold	Flagged by the journal tests
TL-15	Reverse the same journal twice	The second reversal is refused
TL-16	Consolidate the society with two units	Inter-unit accounts eliminate to zero, or a break is shown

17. Open issues

#	Issue	Owner
1	Confirm the PAYE remittance date, the company tax return deadline, and record retention periods under CAMA 2020 and the 2025 tax laws	Tax adviser
2	Confirm whether and when the tax authority's e-invoicing rollout reaches cooperatives and their units	Tax adviser
3	Confirm annual return and audit deadlines with the Director of Cooperatives in each pilot state	Counsel
4	Set the provision-matrix percentages from each pilot society's repayment history, and have the board approve them	Treasurer and board
5	Set the variance thresholds and the manual-journal approval thresholds per society	Board
6	Confirm the reporting framework (IFRS for SMEs, or full IFRS) for any society that may be a public interest entity	Auditor

#	Issue	Owner
7	Agree the migration approach and cut-over date with each pilot society	Treasurer